

Monthly trust account review: August 2026

Example Property Management (FICTIONAL SAMPLE) · 2 trust accounts · Prepared by: Tapish Khandelwal

Sample report built on invented data. Every name, account and number is fictional.

Status: not ready to sign. Trust account: rents (x4410) is short by **\$2,935.00** on DRE's test (\$3,585.00 once the broker's own \$650.00 is swept out). Main items: beneficiary ledger below zero (\$500.00); beneficiary ledger below zero (\$2,650.00); money received that is not in the books (\$1,275.00); deposit banked in the wrong trust account (\$2,800.00). 14 findings are listed below, most urgent first.

Rents trust account (x4410)

Adjusted bank balance	\$29,260.00
Book balance	\$24,980.00
Sum of beneficiary ledgers	\$24,980.00
Bank minus book	\$4,280.00
Owed to owners & tenants	\$32,195.00
Shortage (DRE test)	\$2,935.00
Shortage if broker funds are swept	\$3,585.00

Security-deposit trust account (x4428)

Adjusted bank balance	\$314,900.00
Book balance	\$317,700.00
Sum of beneficiary ledgers	\$317,700.00
Bank minus book	(\$2,800.00)
Owed to owners & tenants	\$314,900.00
Shortage (DRE test)	\$0.00
Shortage if broker funds are swept	\$0.00

Findings

ID	Severity	Finding	Amount	Suggested action · reference
X01	Critical	Trust fund shortage Owed to owners/tenants \$32,195.00; adjusted bank \$29,260.00. Shortage on DRE's test \$2,935.00; \$650.00 of the gap is covered only by the broker's own funds in the account, so sweeping them out would leave \$3,585.00 short.	\$3,585.00	Broker to replenish and document before any fee sweep or further owner draws from this account; a shortage needs written consent from every owner of the funds in the account before the disbursement that caused it. 10 CCR 2832.1; DRE RE 13
X02	High	Three-way reconciliation does not balance Adjusted bank \$29,260.00 vs book \$24,980.00 (difference \$4,280.00); beneficiary ledgers total \$24,980.00. The items below explain the difference.	\$4,280.00	Clear each item below, then re-run; the three figures must agree before the broker signs. 10 CCR 2831.2
X03	High	Three-way reconciliation does not balance Adjusted bank \$314,900.00 vs book \$317,700.00 (difference -\$2,800.00); beneficiary ledgers total \$317,700.00. The items below explain the difference.	(\$2,800.00)	Clear each item below, then re-run; the three figures must agree before the broker signs. 10 CCR 2831.2
X04	High	Beneficiary ledger below zero O07 is -\$500.00: more was paid out for this owner than was held for them, so other owners' money covered it.	\$500.00	Recover the amount from the owner (or broker funds) promptly; each negative ledger is a shortage unless covered. 10 CCR 2831.1, 2832.1
X05	High	Beneficiary ledger below zero O17 is -\$2,650.00: more was paid out for this owner than was held for them, so other owners' money covered it. An NSF reversal (NSF-TN044) was posted on 2026-08-15 after the owner had been paid.	\$2,650.00	Recover the amount from the owner (or broker funds) promptly; each negative ledger is a shortage unless covered. 10 CCR 2831.1, 2832.1

X06	High	Money received that is not in the books 2026-08-18 ZELLE FROM J MARTINEZ \$1,275.00 is on the bank statement with no book entry.	\$1,275.00	Identify whose money this is and record it to that beneficiary; until then it is a liability held for an unknown party. 10 CCR 2831
X07	High	Deposit banked in the wrong trust account Security deposit (move-in) for TN103 (\$2,800.00) is recorded in Trust account: security deposits (x4428) but the bank shows it in Trust account: rents (x4410) on 2026-08-25 (MOBILE DEPOSIT TN103).	\$2,800.00	Transfer the funds to the correct trust account and record the transfer; confirm the deposit register matches the deposits account afterwards. 10 CCR 2832, 2831.1; Civ. Code 1950.5
X08	High	Fee sweep does not match fees recorded 2026-08-06: FEE-0826 transferred \$25,232.00 to operating; fees recorded to owners total \$24,832.00 (over-transfer \$400.00).	\$400.00	Return the over-transfer to trust, or record the fees it relates to with owner authorisation. B&P 10145; 10 CCR 2835
X09	High	Owner distribution larger than the owner's balance Garcia Family Trust (O07) was paid \$8,498.00 on 2026-08-10 when the ledger held \$7,998.00 (over by \$500.00).	\$500.00	Check the draw calculation (reserve, pending bills, uncleared receipts) before the next run. 10 CCR 2832.1
X10	High	Security-deposit register does not match the deposits account Register \$317,700.00; deposits ledger liability \$314,900.00; adjusted bank \$314,900.00.	\$2,800.00	Resolve TR-07 first; then every tenant deposit in the register must be backed by cash in the deposits account. Civ. Code 1950.5; 10 CCR 2831.1
X11	Medium	Same payment recorded twice in the books Pacific Plumbing BILLPAY-5521 \$640.00 on 2026-08-05 for O09 appears twice; the bank shows one payment.	\$640.00	Void the duplicate; O09's ledger is understated by \$640.00 and the owner was under-distributed by that amount. 10 CCR 2831.1
X12	Medium	Broker's own funds in trust exceed \$200 Broker balance in Trust account: rents (x4410) is \$650.00.	\$450.00	Move \$450.00 back to operating (keep ≤ \$200). 10 CCR 2835
X13	Medium	Bank charge paid from the trust account 2026-08-22 OUTGOING WIRE FEE \$35.00 was taken from trust and not recorded.	\$35.00	Record it against the broker's own funds (not an owner) and replenish from operating if broker funds do not cover it. 10 CCR 2835
X14	Low	Check outstanding more than 90 days Check 10412 to Coastal Gutter Co \$185.00 issued 2026-05-18 (105 days).	\$185.00	Contact the payee; void and reissue or return the funds to the owner's ledger. Check state unclaimed-property rules before voiding. 10 CCR 2831.2

What was checked

TR-01	Three-way balance: adjusted bank = book = sum of ledgers
TR-02	Accountability: cash available covers everything owed
TR-03	No owner, tenant or other beneficiary ledger below zero
TR-04	Every bank transaction is recorded in the books
TR-05	Every book entry has matching bank activity; no duplicates
TR-06	No check outstanding more than 90 days
TR-07	Deposits banked in the trust account they are recorded in
TR-08	Broker's own funds in trust no more than \$200
TR-09	Fee sweeps to operating equal the fees charged
TR-10	No owner distribution larger than the owner's balance
TR-11	No bank charges paid out of trust money

TR-12	Receipts reach the bank within 3 business days
TR-13	Security-deposit register agrees to the deposits account

Data used

Read-only exports: the book register (record of all trust funds received and paid out), beneficiary opening balances, the security-deposit register, and the August bank statements for both accounts. Every book line was matched to the bank by check number, e-pay batch, shared reference or amount and date; the Match Log tab of the workbook shows each match. Nothing was changed in the software or at the bank.

Scope

This review supports the broker's monthly reconciliation under 10 CCR 2831.2. It is a review the broker signs, not legal advice. Findings are based on the exports provided; the broker remains responsible for the trust accounts, for correcting entries and for signing the reconciliation.

Broker sign-off

Reviewed by (broker)	
Date	
Exceptions cleared / carried forward	

A real review also ships a workbook (Summary, Exceptions, Bank Rec, Beneficiary Ledgers, Match Log); it is not included with this sample.